INSURANCE AND PENSIONS COMMISSION

REPORT ON

SHORT TERM INSURERS AND REINSURERS

FOR THE QUARTER ENDED 30 JUNE 2011

Contents

1. List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
NPW	–	Net Premium Written
IBNR	–	Incurred But Not Reported
ROE	–	Return on Equity
NEP	–	Net Earned Premium
O/S	–	Outstanding
UPR	–	Unearned Premium Reserve
H1	–	First Half
Q1	–	First Quarter
Q2	–	Second Quarter
Q3	–	Third Quarter
IPEC/Commission	–	Insurance and Pensions Commission

NOTE: Unless stated otherwise, all monetary figures are in United States Dollars

2. Executive Summary

This report details the performance, as well as report on the developments that occurred in the short term insurance industry during the quarter ended 30 June 2011. The number of registered short term direct insurers increased from 28 as at 31 March 2011 to 29 as at 30 June 2011, whilst the number of short term reinsurers remained eight.

The gross premium written for the half year ended 30 June 2011 amounted to $84.09 million, up from $49.42 million reported for the quarter ended 31 March 2011. The increase in gross premium written was buoyed by increases of 101.4% and 47.06% in gross premium written from motor and fire insurance respectively.

The direct short term insurers reported a marked improvement in earnings from a loss position of $14.17 million reported for the half year ended 30 June 2010 to a profit after tax position of $6.33 million for the period under review.

As at 30 June 2011, all active short term direct insurers reported capital levels which were above the minimum regulatory requirement of $300 000, stipulated in Statutory Instrument 183 of 2009. Solvency ratios for all active direct short term insurers were above the minimum regulatory requirement of 25% with the average solvency ratio being 108% as at 30 June 2011.

Total assets for direct short term insurers decreased from $113.23 million reported as at 31 March 2011 to $111.95 million as at 30 June 2011. The decrease was mainly driven by a decrease in money market investments, cash and cash equivalents from a total of $22.82 million as at 31 March 2011 to $17.28 million as at 30 June 2011.

Average premium retention ratio decreased from 52.39% reported for the period ended 30 June 2010 to 50.03% for the period under review, reflecting that more premium was ceded to reinsurers.

The short term reinsurers recorded an increase in total gross premium written from $18.89 million reported for the quarter ended 31 March 2011 to $37.75 million for the half year ended 30 June 2011. The increase in gross premium written was buoyed by increase in the volume of business underwritten mainly from motor and fire insurance.

All short term reinsurers, except Colonnade Reinsurance Company, reported capital levels which were above the minimum capital requirement of $400 000, stipulated in Statutory Instrument 183 of 2009, as at 30 June 2011. The average solvency ratio was 234.71% with all reinsurers reporting solvency ratios which were above the prudential minimum of 25%.

Total assets for reinsurers increased from $87.84 million as at 31 March 2011 to $93.04 million as at 30 June 2011. Unlike in the case of direct short term insurers the reinsurers reported an increase in cash and cash equivalents from $23.08 million as at 31 March 2011 to $27.24 million as at 30 June 2011 which may reflect improved liquidity.

The reinsurers reported an average premium retention ratio of 64.04% for the half year ended 30 June 2011, compared to 69.16% reported for the comparative period in 2010, reflecting a decrease in risk retention.

During the quarter under review IPEC launched full scope investigations into the affairs of Tristar Insurance Company, FMRE Property and Casualty, FML, and FMRE Life and Health. This follows irregularities unraveled at AFRE and at one of its shareholders ReNaissance Financial Holdings Limited (RFHL) by IPEC's preliminary investigation and Reserve Bank of Zimbabwe investigations respectively. The investigations are ongoing.

SECTION A

3. Short-Term Insurance Companies

3.1. Number of Direct Short Term Insurers

The number of registered short term direct insurers increased from 28 as at 31 March 2011 to 29 as at 30 June 2011, following the registration of Sanctuary Insurance Company. This report was compiled using statistics from only 23 insurers, since Sanctuary Insurance Company, Hamilton Insurance Company, Suremed Insurance Company and Agricultural Insurance Company were not operating. Gallant Insurance Company was not trading as it is yet to be issued with a new licence following its legal wrangle with the Commission. Export Credit Guarantee Corporation (ECGC) Private Limited was directed to cease writing new business due to solvency challenges.

3.2. Business Written

The gross premium written for the half year ended 30 June 2011 amounted to $84.09 million, reflecting an increase by $34.66 million from $49.42 million reported for the quarter ended 31 March 2011. The increase in gross premium written was buoyed by increases of 101.4% and 47.06% in gross premium written from motor and fire insurance respectively. The growth in gross premium written reflects increased levels of underwriting, which can be traced to the general improvement in the macroeconomic environment. Table 1 and Table 2 below show an extract of key indicators from the aggregated statement of comprehensive income as well as a breakdown of gross written premiums by class of business for the short-term insurance subsector.

Table 1: Performance Indicators (US$000)

	2011: H1	2011: Q1	2010 : H1
Gross Premium Written	84,086	49,424	60,134
Net Premium Written	42,069	22,481	31,504
Net Earned Premium	38,711	19,001	26,241
Net Claims Incurred	17,389	8,183	11,054
Net Commission Incurred	2,346	831	3,377
Management Expenses	16,107	7,166	14,825
Underwriting Profit	2,399	3,338	-13,893
Investment Income	2,143	494	76
Unrealized Movement from Valuation of Equity	1,645	768	332
Profit Before Tax	7,340	5,192	-14,563

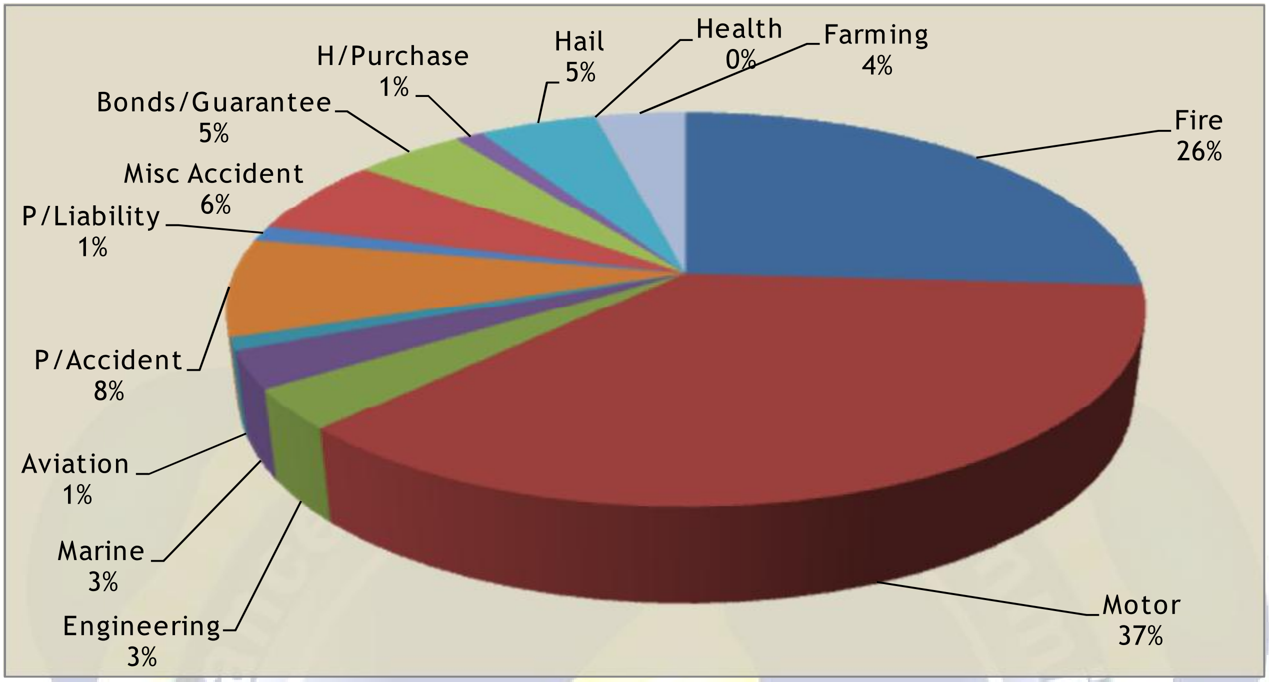
Table 2: Gross Premium Written by Class of Business (US$)

Contribution by Class	2011: H1	Q1:2011	2010:H1
Fire	21,847,147	14,855,691	16,818,815
Motor	30,659,904	15,223,509	20,092,507
Engineering	2,855,693	1,894,247	4,171,978
Marine	2,578,348	2,771,862	1,386,503
Aviation	852,227	290,596	1,288,890
P/Accident	6,775,959	3,211,375	3,630,079
P/Liability	1,071,408	592,969	1,055,311
Misc Accident	5,361,833	3,043,222	3,945,194
Bonds/Guarantee	3,855,297	1,699,930	2,385,194
H/Purchase	843,355	420,382	362,670
Hail	4,186,824	4,023,220	3,358,410
Health	8,632	3,905	23,180
Farming	3,189,331	1,665,980	1,615,659
Total	**84,085,958**	**49,424,000**	**60,134,390**

The business underwritten by the direct short term insurers for the half-year ended 30 June 2011 was largely driven by motor and fire insurance which contributed 37% and 26% of gross premium written respectively. This inherently exposes the sub-sector to concentration risk in the event that there is a large increase in claims emanating from policies issued in respect of motor accidents and fire. Insurers are encouraged to devise innovative strategies to improve volumes of business underwritten in other risk categories thereby diversifying their books to manage concentration risk.

Figure 1 below shows the distribution of business by class of business based on gross premium for the half-year ended 30 June 2011.

Figure 1: Distribution of Business by Gross Premium Written



3.3. Earnings

The sector reported profit after tax of $6.33 million for the half year ended 30 June 2011, compared to a loss of $14.17 million reported for the comparative period in 2010. The increase in net profit was largely driven by increases in the volume of business underwritten as well as growth in investment income as shown in table 1 above. The growth in profitability, coupled with low average dividend payout ratio of 3.12% for the period under review, reflects the improved ability of the short term direct insurers to grow their capital organically.

The sector's underwriting margin increased from negative 23.10% for the half year period ended 30 June 2010 to 3.88% for the period under review further reflecting improved underwriting profitability. However, underwriting profits amounted to only $2.40 million for the half year under review which constituted 32.68% of profits before tax ($7.34 million) reflecting that the sector did not generate the bulk of its earnings from its core business (underwriting). The remainder of the profit before tax largely emanated from, investment income and unrealized movement from market valuation of equity which amounted to a total of $3.78 million, which may not be sustainable in the long term.

The sector reported return on equity of 13.87% for the period under review up from negative 43.62% reported for the half year ended 30 June 2010 reflecting improved profitability. The sectors' cost management strategies improved as evidenced by the decrease in combined ratio from 111.49% for the half year ended 30 June 2010 to 92.5% for the period under review.

3.4. Capitalization

As at 30 June 2011, all active short term direct insurers reported capital levels which were compliant with the regulatory minimum requirement of $300 000 stipulated in Statutory Instrument 183 of 2009 as shown in Table 3 below. The median[1] shareholders' equity however, decreased by 14.29% from $1.07 million reported as at 31 March 2011 to $920,199.00 as at 30 June 2011.

The total capital base for the direct short term insurers of $45.62 million as at 30 June 2011, was largely made up of revaluation reserves, retained income and share capital which amounted to a total of $14.75 million, $12.6 million and $11.46 million, respectively. The components of capital base as percentages, on average were 31.80%, (revaluation reserves) 27.17% (retained earnings) and 24.71% (share capital). Although the industry average proportion of shareholders' equity attributable to revaluation reserves decreased from 36% as at 31 March 2011 to 31.8% as at 30 June 2011 the proportion is still significant and may threaten the sustainability of the capital levels in the long term should asset values fall. Insurers should rely more on other forms of shareholders' equity such as retained income and fresh injections, which are more permanent than revaluation reserves.

In view of the imminent upwards review of capital levels by the Commission, insurers with capital levels which were marginally above the prudential minimum as at 30 June 2011 should consider recapitalization initiatives such as fresh capital injections by shareholders or technical partners and mergers. More so, given that the business volumes are on the upward trend, and from an economic capital point of view, capital should be linked with the risk levels of the insurers.

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[1] The **median** is the numerical value separating the higher half of a population from the lower half. The *median* of a finite list of numbers can be found by arranging all the observations from lowest value to highest value and picking the middle one. If there is an even number of observations, then there is no single middle value; the median is then usually defined to be the average of the two middle values.

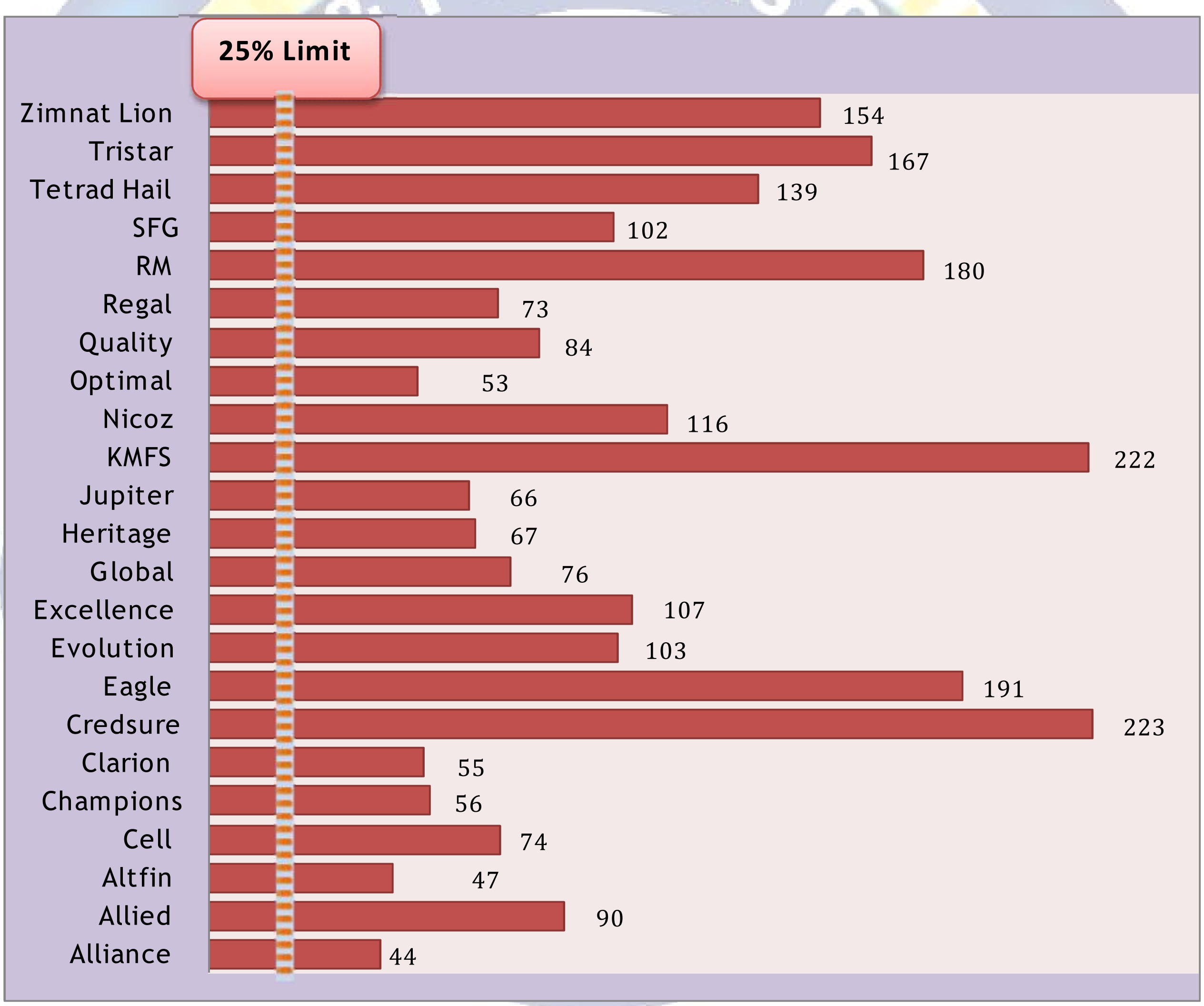
The Commission will conduct on-site examinations mainly targeted on capital verification, across the entire insurance industry on dates to be advised. The on-site examinations will be aimed at authenticating the capital positions declared by the insurers, assessing the adequacy of risk management systems in place as well as compliance to prudential requirements.

Table 3: Level of Capitalisation

Name of Insurer	Reported Capital Position ($)
Alliance Insurance Company (Pvt) Ltd	2,449,777.00
Allied Insurance Company (Pvt) Ltd	310,400.00
Altfin Insurance Company (Pvt) Ltd	1,461,000.00
Cell Insurance (Zimbabwe) (Pvt) Ltd	2,144,983.00
Champions Insurance Company (Pvt) Ltd	632,489.00
Clarion Insurance Company (Pvt) Ltd	497,660.00
Credit Insurance Zimbabwe (Pvt) Ltd	2,194,572.00
Eagle Insurance Company (Pvt) Ltd	3,077,919.00
Evolution Insurance Company (Pvt) Ltd	604,698.00
Excellence Insurance Company (Pvt) Ltd	335,916.00
Global Insurance Company (Pvt) Ltd	413,047.00
Heritage Insurance Company of Zimbabwe (Pvt) Ltd	660,639.00
Jupiter Insurance Company Limited (Pvt) Ltd	486,221.00
KMFS Insurance Company (Pvt) Ltd	1,113,321.00
Nicoz Diamond Insurance Company (Pvt) Ltd	7,780,000.00
Optimal Insurance Company (Pvt) Ltd	727,077.00
Quality Insurance Company (Pvt) Ltd	582,000.00
Regal Insurance Company (Pvt) Ltd	315,828.00
RM Insurance Company (Pvt) Ltd	10,225,602.00
Standard, Fire and General Insurance Company (Pvt) Ltd	1,322,768.00
Tetrad Hail Insurance Company (Pvt) Ltd	1,502,950.00
Tristar Insurance Company (Pvt) Ltd	2,763,918.00
Zimnat Lion Insurance Company (Pvt) Ltd	4,017,577.00

As at 30 June 2011 all active direct short term insurers reported solvency ratios which were above the minimum regulatory requirement of 25%. The short term insurance sector reported an average solvency ratio of 108% as at 30 June 2011, reflecting a decrease of 82 percentage points, from 190% reported as at 31 March 2011. The decrease in the solvency ratio was largely attributable to an increase in net premium written from $22.48 million for the quarter ended 31 March 2011 to $42.07 million for the half year ended 30 June 2011. Figure 2 below shows the solvency ratios for all the direct short term insurers as at 30 June 2011.

Figure 2: Solvency Ratios

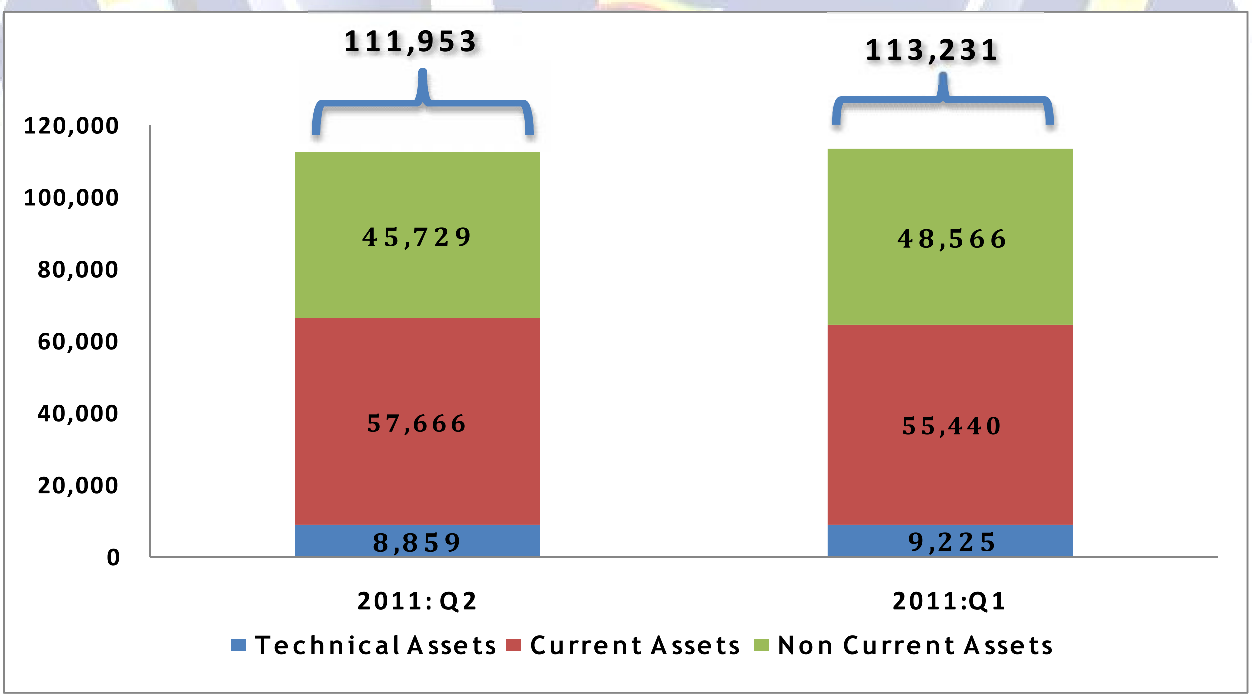


3.5. Asset Quality

The sector reported total assets of $111.95 million as at 30 June 2011, reflecting a 1.13% decrease from $113.23 million reported as at 31 March 2011. The marginal decrease in total assets was largely attributable to the decrease in money market investments, cash and cash equivalents from a total of $22.82 million as at 31 March 2011 to $17.27 million as at 30 June 2011. The decrease in money market investments, cash and cash equivalents, coupled with the lack of viable short term investment instruments within the financial sector, may result in heightened exposure to liquidity risk in the insurance sector. The decrease in total assets when there is business growth raises concern in respect to adequacy of technical reserves.

There is inherently high liquidity risk in the short term industry that is attributable to non-current assets which constituted 40.85% of total assets. In addition, the bulk of current assets were in the form of premium receivables and debtors amounting to $30.41 million and $8.72 million respectively and these may not be easily converted into cash to meet liquidity needs. The sector reported an average premium collection rate of 63.84% which further highlights the liquidity risk that the sector is exposed to. Figure 3 below shows the breakdown of total assets as at 30 June 2011.

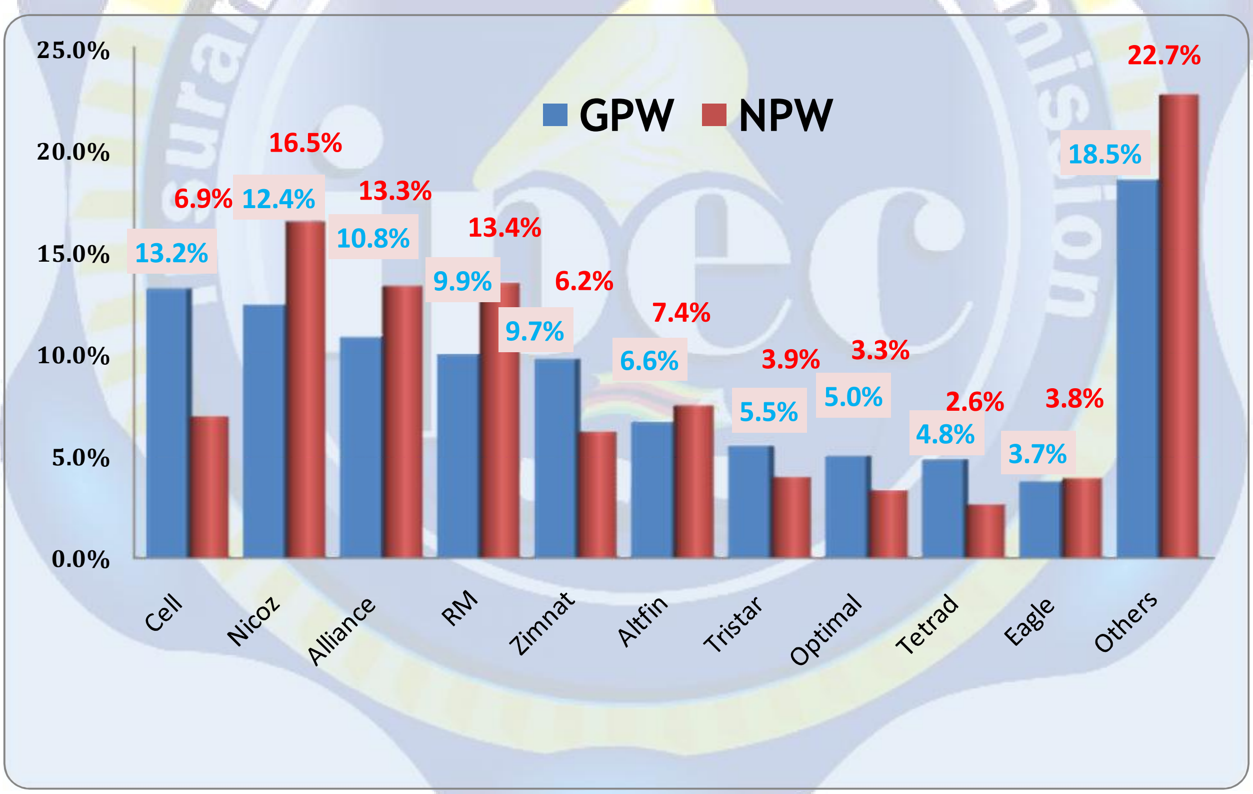
Figure 3: Assets Composition of Short-Term Insurers ('000)



3.6. Market Share for Short-Term Insurers

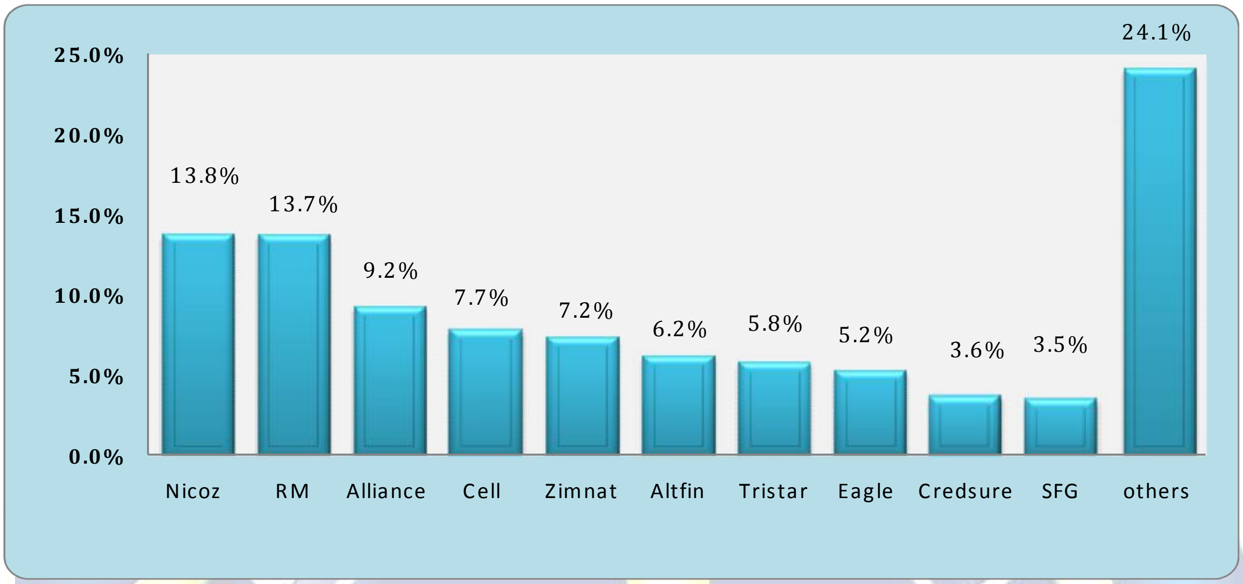
The short term insurance sector was considered not concentrated with Herfindahl indices[2] of 0.081, 0.087 and 0.08 in terms of gross premium written, net premium written and total assets respectively. The top three insurers in terms of gross premium written were Cell Insurance Company, Nicoz Diamond Insurance Company and Alliance Insurance Company with a combined market share of 36.4%. In terms of net premium written and total assets Nicoz Diamond Insurance Company and RM Insurance Company and Alliance were the market leaders with combined market shares of 43.2% and 38% respectively. The low concentration results in enhanced competition among the insurers which in turn may be beneficial to the general public. Figure 4 and 5 show the distribution of market share.

Figure 4: Market share using GPW and NPW



[2] The Herfindahl Index is the sum of squared market shares of firms in an industry. An index below 0.1 indicates an unconcentrated industry, an index of 0.1 to 0.18 indicates moderate concentration and an index above 0.18 indicates high concentration.

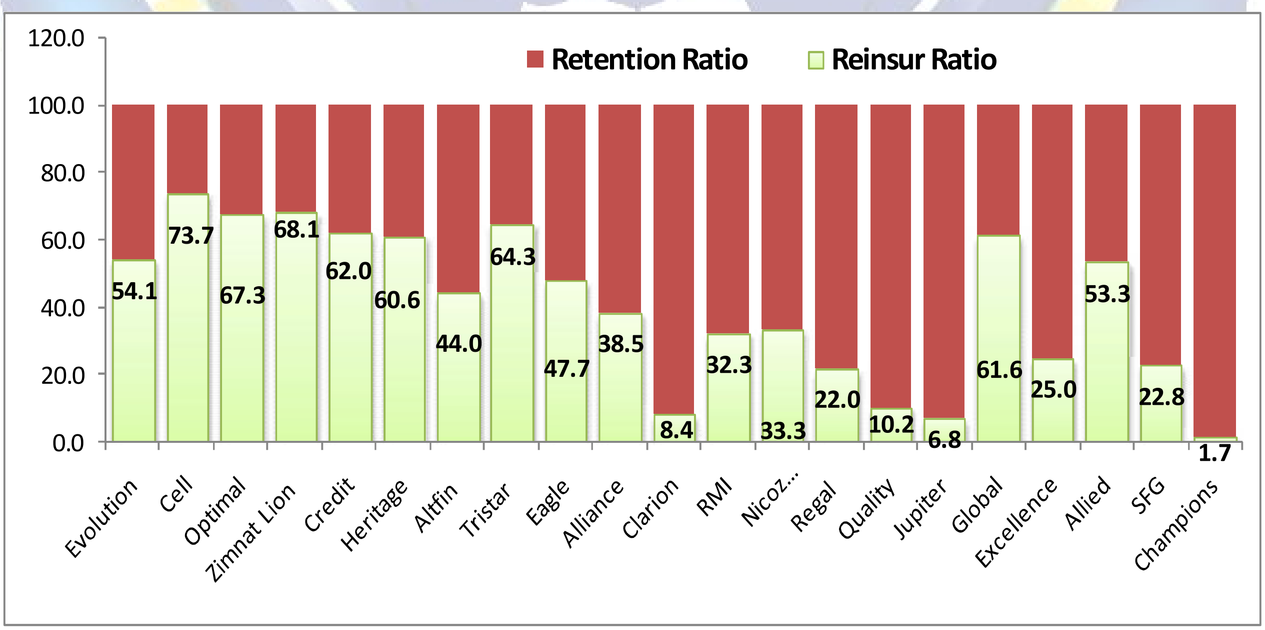
Figure 5: Market Share In Terms of Asset Base



3.7. Reinsurance

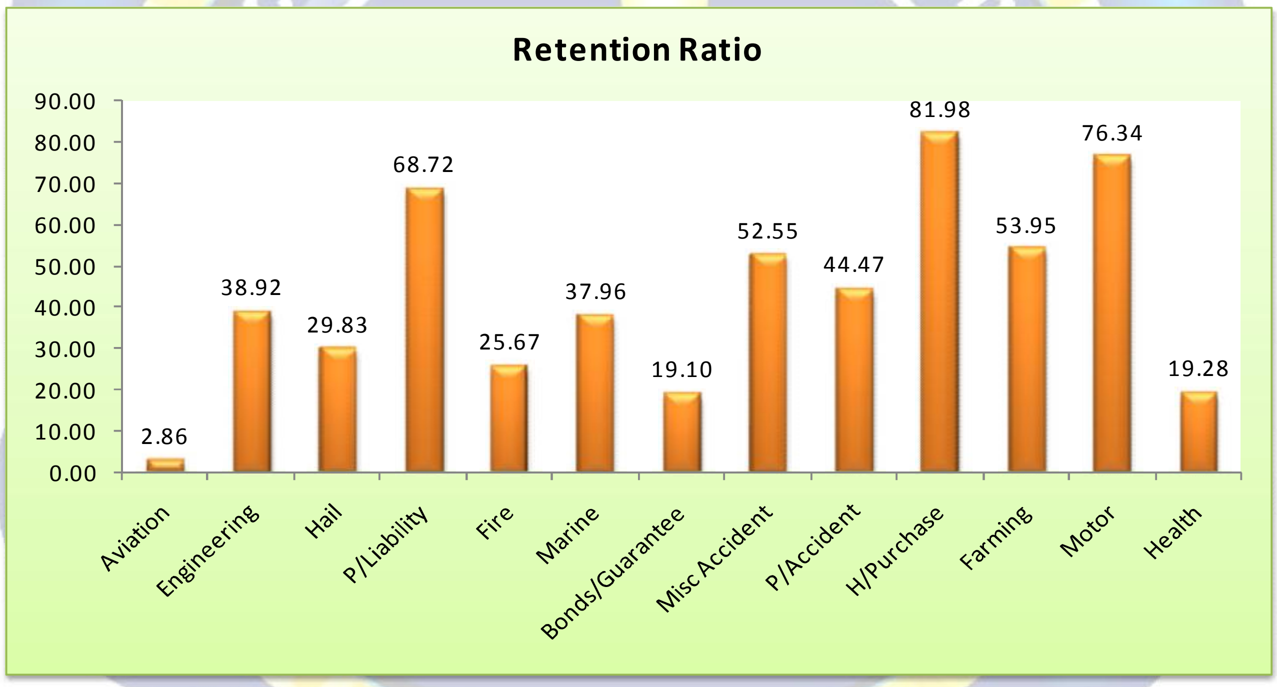
The short term insurance industry reported an average premium retention ratio of 50.03% for the period under review, reflecting a decrease by 2.36 percentage points from 52.39% reported for the comparative period in 2010. The decrease in the average retention ratio reflects a decrease in the exposure to inherent underwriting risk. Champions Insurance Company and KMFS Insurance Company reported the highest reported retention ratios of 98.27% and 97.51 respectively as shown in Figure 6 below.

Figure 6: Reinsurance/Retention for Short Term Companies



The direct short term insurance industry reported risk retention levels of 81.98%, 76.34% and 68.72% in hire purchase, motor and personal liability insurance respectively as shown in Figure 7 below. In view of the fact that the sector's business is skewed towards motor insurance business, high retention ratio in the same sector increases exposure to underwriting risk, hence the need to put more emphasis on investing in robust risk management systems. This is also in light of the high frequency of claims in the motor insurance class of business. In view of high retention levels and high frequency of claims in the motor insurance business alluded to above, insurers should desist from undercutting and charge economic rates to build sufficient pools of premium which will enable insurers to meet claims as they fall due.

Figure 7: Retention by Class



3.8. Investigations

The Commission launched investigations into the operations of Tristar Insurance Company together with other AFRE subsidiaries, which are not direct short term insurers, namely First Mutual Life, FMRE Property & Casualty and FMRE Life & Health during the quarter under review. The purpose of the investigations is, among other things, to determine the financial soundness of the subsidiaries in view of irregular intercompany transactions, which emanated from the relations that exist between AFRE, ReNaissance Financial Holdings Limited (RFHL), and ReNaissance Merchant Bank (RMB) which was placed under curatorship in May 2011. In addition the investigations seek to establish if policyholders and pension fund members were not prejudiced. The investigations are ongoing.

ECGC investigations established that the institution is technically insolvent and the directors and shareholder are considering various capital raising initiatives in view of the need to comply with the minimum capital requirement.

SECTION B

4. Reinsurance Companies

4.1. Business Written

The number of short term reinsurers remained eight as there were no new entrants or exits. Total gross premium written increased by 99.87% from $18.89 million reported for the quarter ended 31 March 2011 to $37.75 million for the half year ended 30 June 2011 reflecting an increase in business volume. The increase in gross premium written was buoyed by GPW increases in motor and fire insurance business which amounted to $4.91 million and $3.72 million respectively. Table 4 and Table 5 show the key performance indicators as well as changes in GPW attributable to different classes of business.

Table 4: Performance Indicators (US$000)

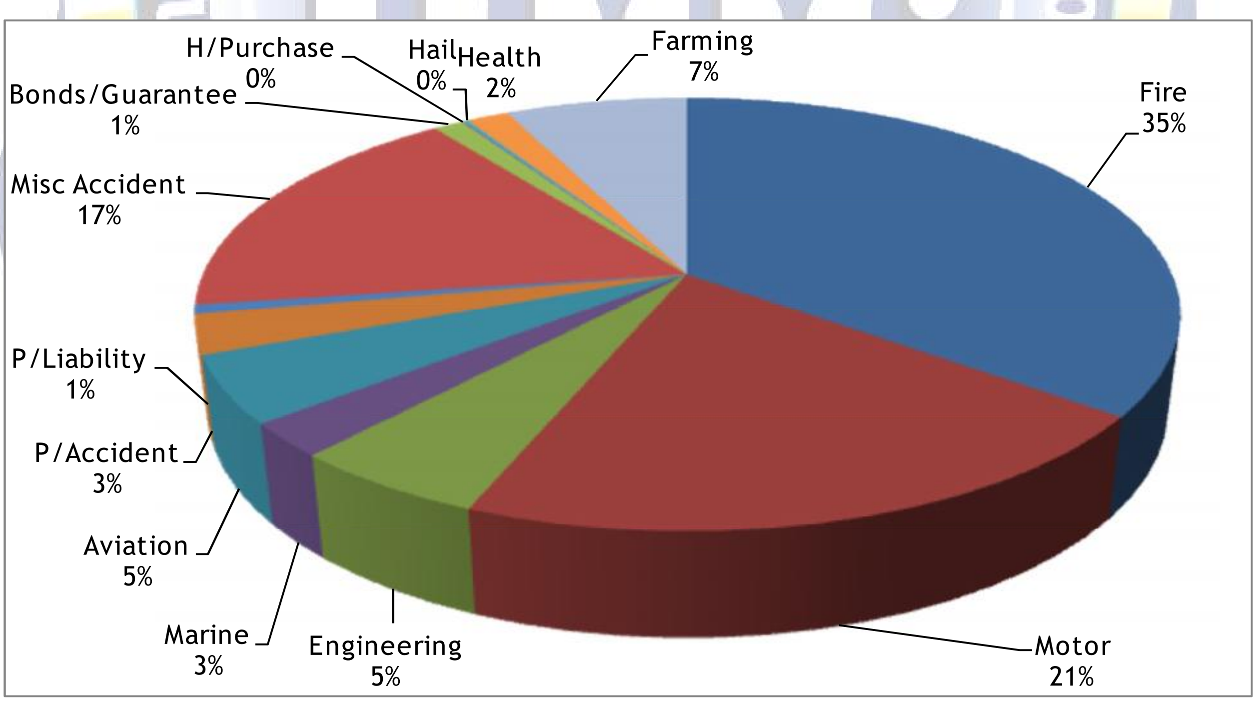
	2011: H1	Q1 2011	2010: H1
Gross Premium Written	37,746	18,885	34,795
Net Premium Written	24,993	12,164	24,062
Net Earned Premium	20,369	9,023	20,035
Net Claims Incurred	5,998	1,028	5,251
Net Commission Incurred	5,774	2,673	6,085
Management Expenses	6,177	2,617	8,953
Underwriting Profit	3,053	3,224	-4,881
Investment Income	743	253	907
Unrealized Movement from Valuation of Equities	1,284	1,225	-1,873
Profit Before Tax	**5,296**	**4,725**	**-4,555**

The proportion of total gross premium attributable to the two major sources of business namely, fire and motor insurance decreased from a total of 61% for the half year ended 30 June 2010 to 56% for the period under review (see figure 8 below). Notwithstanding the decrease in the proportion of gross premium attributable to these two major sources of business concentration was still considered significant.

Table 5: Gross Written Premiums by Class of Business (US$)

	2011: H1	Q1:2011	2010: H1
Fire	12,887,874	9,170,280	12,791,842
Motor	7,541,459	2,635,199	5,489,226
Engineering	2,004,772	1,237,845	2,570,329
Marine	926,643	434,945	1,468,401
Aviation	1,825,127	829,433	867,536
Personal Accident	1,068,930	136,757	264,850
Personal Liability	248,362	180,584	258,002
Misc Accident	7,457,275	3,742,018	8,084,277
Bonds/Guarantee	498,396	295,522	421,316
Hire Purchase	26,342	18,056	25,451
Hail	66,610	67,210	11,220
Health	600,160	99,780	1,803,942
Farming	2,593,363	37,205	739,060
Total	**37,745,313**	**18,884,834**	**34,795,452**

Figure 8: Distribution of Business



4.2. Earnings

The short term reinsurers reported profit after tax of $4.63 million for the six months ended 30 June 2011 compared to a loss of $3.31 million reported in the comparative period in 2010. The increase in profits was mainly attributable to an increase in unrealized movement in valuation of equities from negative $1.87 million for the half year ended 30 June 2010 to $1.84 million for the period under review.

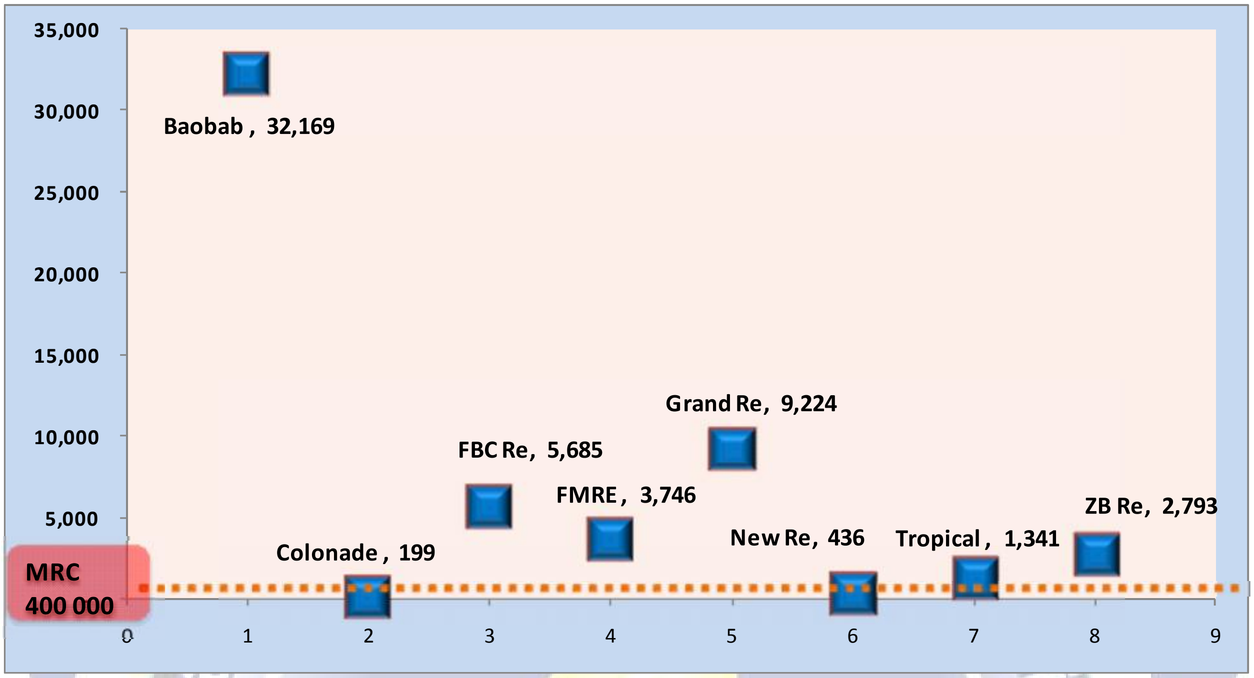
The industry average underwriting margin increased from negative 14.03% for the half year period ended 30 June 2010 to 10.33% for the period under review reflecting improved profitability from core business. The reinsurers reported an average return on equity of 10.14% for the period under review compared to negative 7.02% reported for the half year ended 30 June 2010 further highlighting improved profitability.

4.3. Capitalization

As at 30 June 2011, all short term reinsurers, except Colonnade Reinsurance Company, were compliant with the minimum capital requirement of $400 000 stipulated in Statutory Instrument 183 of 2009 as shown in Figure 9 below. Colonnade Reinsurance Company recorded a capital level of $199 million reflecting a shortfall of $201 million from the regulatory minimum. The reinsurer has been directed to raise capital to comply with the minimum regulatory requirements.

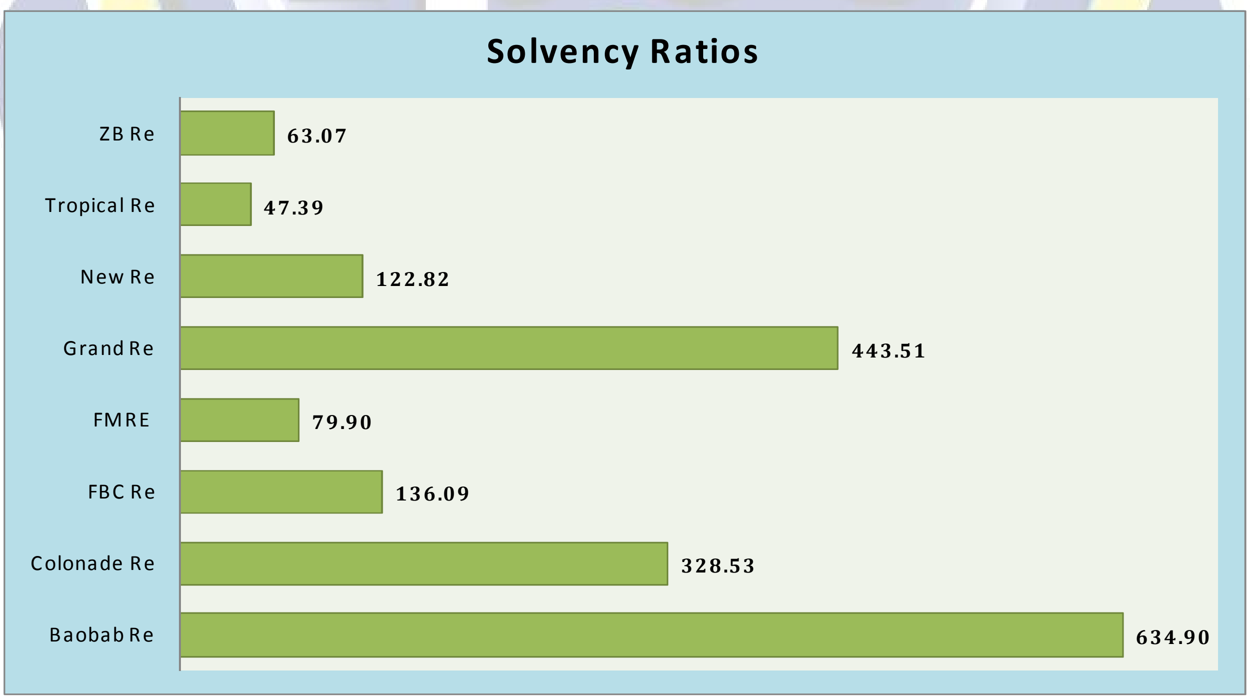
The median capital level was $3.27 million reflecting that the bulk of the short term reinsurers had capital levels significantly above the regulatory minimum.

Figure 9: Shareholders Equity (000)



All reinsurers reported solvency ratios which were above the prudential minimum of 25%. The average short term reinsurers' solvency ratio was 234.71% which is significantly above the internationally accepted threshold of 40%.

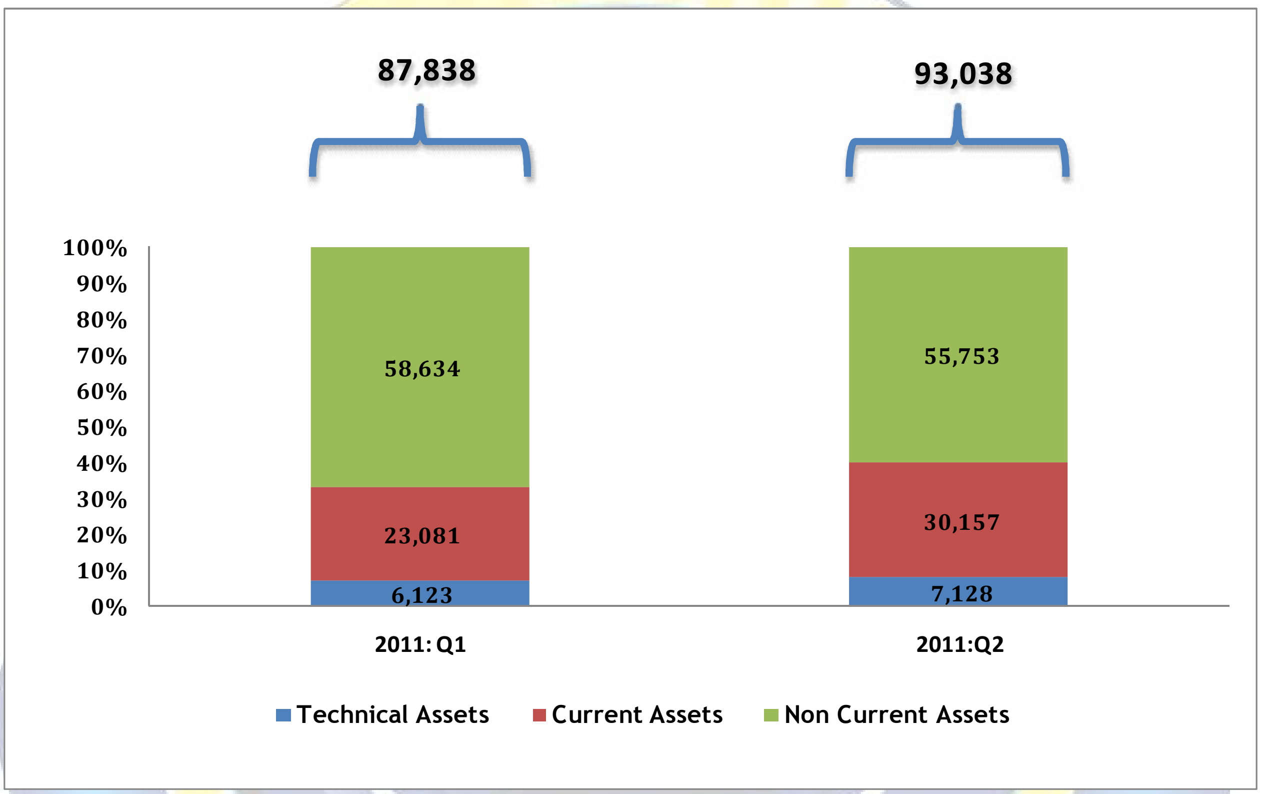
Figure 10: Solvency Ratios



4.4. Asset Quality

Total assets increased from $87.84 million as at 31 March 2011 to $93.04 million as at 30 June 2011 on the back of increases in cash and cash equivalents from $23.08 million as at 31 March 2011 to $27.24 million as at 30 June 2011 as shown in Figure 11 below. The increase in cash and cash equivalents translates to improved liquidity position for the short term reinsurance sector.

Figure 11: Assets of Reinsurers ('000)



4.5. Market Share for Reinsurers

The top three reinsurers, namely FMRE, Baobab Reinsurance Company and ZBRE had a combined market share of 66.8% and 61.7% in terms of GPW and NPW respectively for the period under review as shown in Figure 12 below. However, in terms of total assets the top three reinsurers were Baobab, FBC Re and Grand Re had a combined market share of 74.3% as at 30 June 2011. The reinsurers' market was considered highly concentrated with Herfindahl indices of 0.19, 0.182 and 0.73 in terms of GPW, NPW and total assets respectively.

Figure 12: Market Share by GPW/NPW

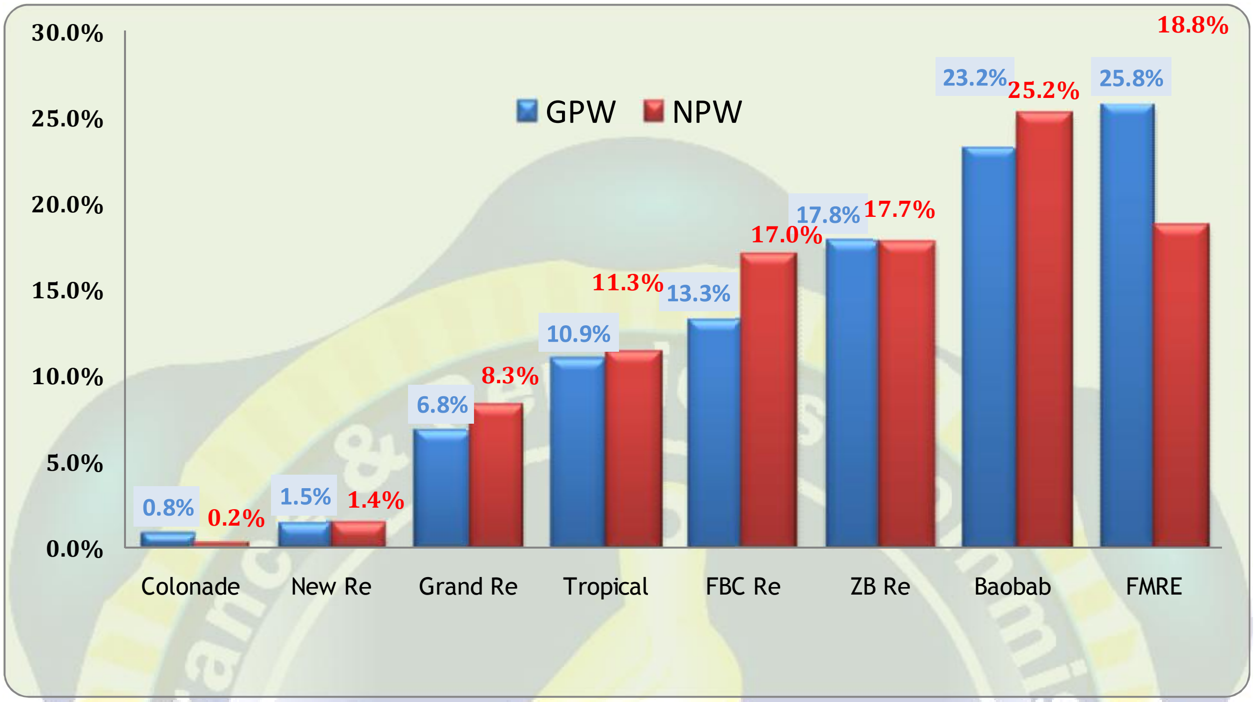
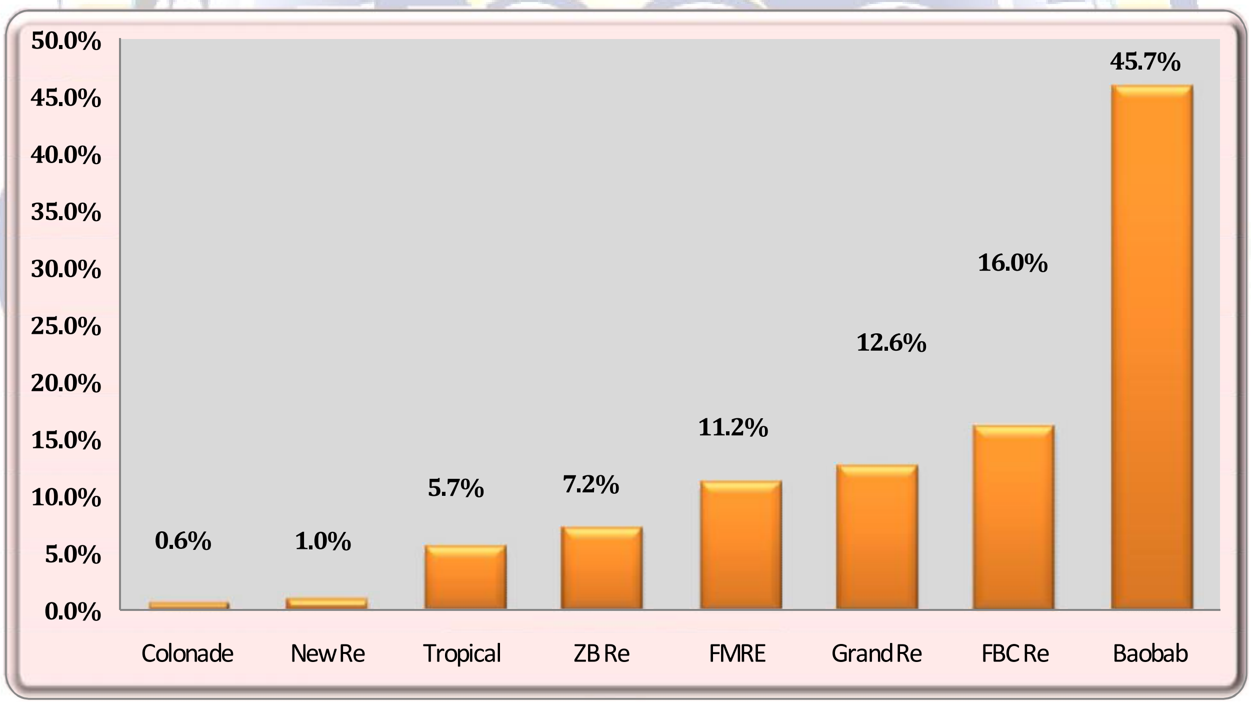


Figure 13: Market Share by Asset Distribution



4.6. Retention

The reinsurers reported an average retention ratio of 64.04% for the half year ended 30 June 2011, compared to 69.16% reported for the comparative period in 2010, reflecting a decrease the risk appetite. FBC Re and Grand Re recorded the highest retention ratios of 84.67% and 81.21% respectively. The reinsurers did not cede any premium emanating from hire purchase and health business owing to the low volumes and low values insured in these business classes which were within the reinsurers' underwriting capacity. Aviation recorded the lowest retention ratio of 7.5% due to the high values of sum insured in the business class that are beyond the underwriting capacity of local reinsurers.

A comparison of the distribution of business for short term direct insurers and reinsurers (Figure 1 and 8) indicates that direct insurers retained more risk in motor insurance as less business was ceded to reinsurers compared with other major classes of business such as fire and accidents.

Figure 14: Retention/Retrocession

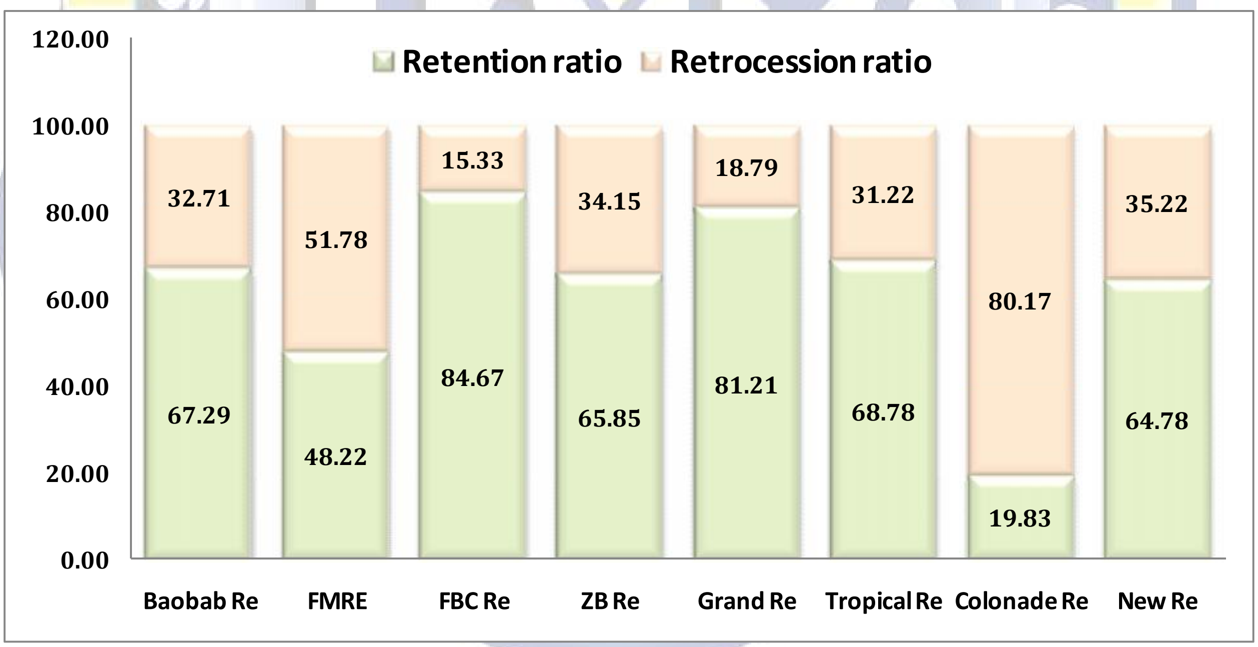
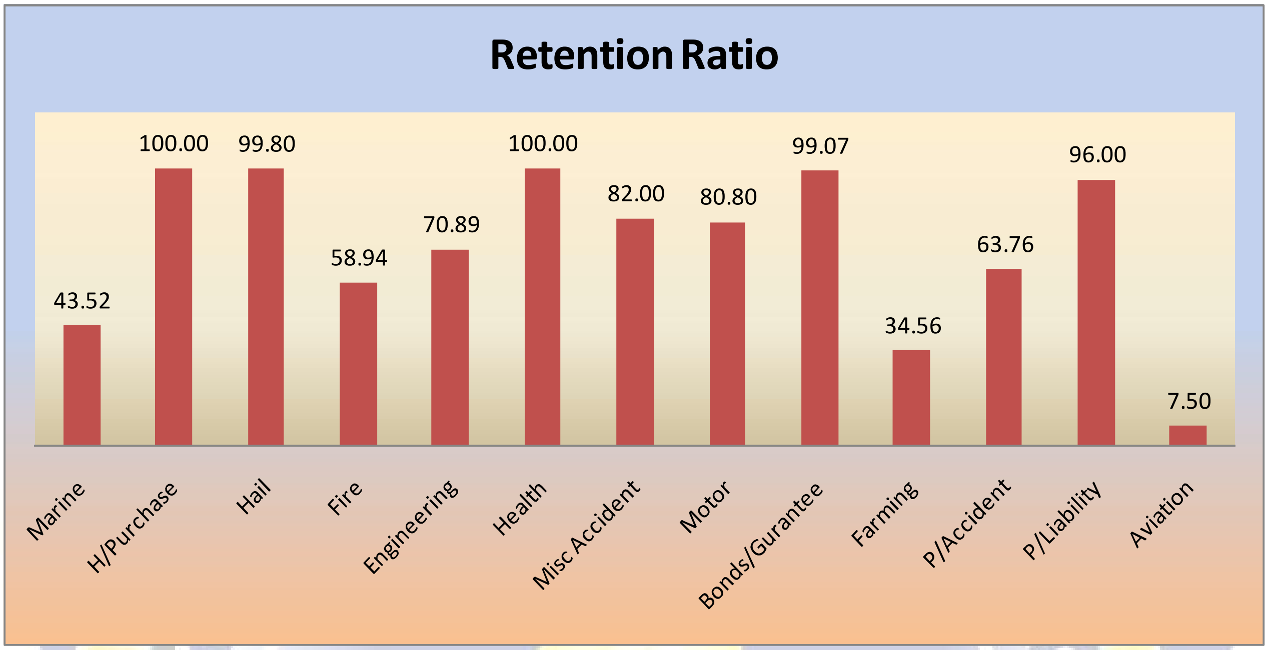


Figure 15: Retention by Class of Business



4.7. Investigations

FMRE property and Casualty is under investigation by the Commission. The details of the investigation are as alluded to in section 3.8 above.

SECTION C

5. APPENDICES

	Alliance	Allied	Altfin	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Heritage	Jupiter	KMFS	Nicoz	Optimal	Quality	Regal	RM	SFG	Tetrad	Tristar	Zimnat	TOTAL
GPW	**9,120**	**739**	**5,602**	**11,089**	**1,149**	**995**	**2,585**	**3,088**	**1,276**	**418**	**1,409**	**2,489**	**794**	**514**	**10,440**	**4,213**	**773**	**553**	**8,377**	**1,672**	**4,007**	**4,623**	**8,162**	**84,086**
Reinsurance	3,511	394	2,467	8,174	20	84	1,602	1,473	691	105	868	1,509	54	13	3,475	2,837	79	122	2,704	381	2,925	2,972	5,560	**42,017**
NWP	**5,610**	**345**	**3,135**	**2,915**	**1,129**	**911**	**983**	**1,615**	**585**	**314**	**542**	**980**	**739**	**501**	**6,965**	**1,376**	**694**	**432**	**5,673**	**1,291**	**1,082**	**1,651**	**2,602**	**42,069**
NEP	**5,357**	**666**	**2,645**	**2,224**	**901**	**837**	**769**	**1,428**	**586**	**282**	**397**	**954**	**706**	**501**	**6,536**	**1,042**	**533**	**416**	**4,889**	**1,951**	**1,082**	**1,870**	**2,140**	**38,711**
Net Incurred Claims	3,525	167	1,554	1,212	267	197	103	630	(133)	107	163	322	408	59	3,112	330	77	84	2,263	948	1,111	1,399	852	18,757
Net Commission Incurred	628	(42)	318	(150)	136	81	(203)	71	(9)	46	46	(15)	65	0	1,031	(105)	115	0	603	142	(561)	133	17	2,346
Technical Result	**1,255**	**251**	**851**	**1,292**	**452**	**295**	**897**	**728**	**444**	**127**	**244**	**650**	**232**	**442**	**2,489**	**736**	**341**	**332**	**2,172**	**911**	**532**	**1,559**	**1,271**	**18,506**
Operating Expenses	1,104	179	1,122	850	248	315	523	967	168	76	223	651	286	286	2,195	637	235	344	1,417	975	355	1,704	1,247	16,107
Underwriting Result	**151**	**71**	**(271)**	**442**	**205**	**(20)**	**374**	**(239)**	**277**	**51**	**22**	**(1)**	**(54)**	**156**	**294**	**99**	**106**	**(13)**	**755**	**(64)**	**177**	**(144)**	**24**	**2,399**
Investment																								
Investment Income	100	0	252	93	30	0	30	0	7	0	23	42	0	23	222	26	6	0	950	0	119	100	120	2,143
Unrealised Gains/Losses	0	0	42	30	0	0	0	0	0	0	(11)	0	0	0	(113)	36	71	0	0	(1)	25	1,590	0	1,669
Other Income	151	11	0	0	134	119	19	44	0	0	0	119	8	0	0	0	0	0	(53)	0	0	174	201	926
																								0
Profit Before Tax	**401**	**82**	**23**	**565**	**369**	**99**	**423**	**(194)**	**284**	**51**	**33**	**159**	**(46)**	**179**	**495**	**162**	**183**	**(12)**	**1,653**	**47**	**320**	**1,720**	**345**	**7,340**
Taxation	103	0	2	106	8	26	109	0	73	0	(0)	6	0	55	113	33	3	0	244	16	82	(2)	35	1,014
Profit After Tax	**298**	**82**	**21**	**459**	**361**	**74**	**314**	**(194)**	**211**	**51**	**33**	**153**	**(46)**	**124**	**382**	**128**	**180**	**(12)**	**1,408**	**31**	**237**	**1,721**	**310**	**6,326**
Key Ratios																								
Market Share % on GWP	10.8%	0.9%	6.7%	13.2%	1.4%	1.2%	3.1%	3.7%	1.5%	0.5%	1.7%	3.0%	0.9%	0.6%	12.4%	5.0%	0.9%	0.7%	10.0%	2.0%	4.8%	5.5%	9.7%	100.0%
Market Share % on NWP	8.4%	0.9%	5.9%	19.5%	0.0%	0.2%	3.8%	3.5%	1.6%	0.2%	2.1%	3.6%	0.1%	0.0%	8.3%	6.8%	0.2%	0.3%	6.4%	0.9%	7.0%	7.1%	13.2%	100.0%
Retention Ratio	61.5%	46.7%	56.0%	26.3%	98.3%	91.5%	38.0%	52.3%	45.9%	75.0%	38.4%	39.4%	93.2%	97.5%	66.7%	32.7%	89.8%	78.0%	67.7%	77.2%	27.0%	35.7%	31.9%	50.0%
NEP/ NWP	**95.5%**	**192.9%**	**84.4%**	**76.3%**	**79.8%**	**91.9%**	**78.2%**	**88.4%**	**100.3%**	**89.8%**	**73.3%**	**97.3%**	**95.4%**	**100.0%**	**93.8%**	**75.7%**	**76.8%**	**96.3%**	**86.2%**	**151.1%**	**100.0%**	**113.3%**	**82.2%**	**92.0%**
Net Claims Incurred Ratio	65.8%	25.1%	58.8%	54.5%	29.6%	23.6%	13.3%	44.1%	-22.6%	38.1%	41.2%	33.8%	57.8%	11.8%	47.6%	31.7%	14.4%	20.2%	46.3%	48.6%	102.7%	74.8%	39.8%	48.5%
Net Commission Ratio	11.7%	-6.3%	12.0%	-6.8%	15.1%	9.6%	-26.4%	4.9%	-1.6%	16.4%	11.6%	-1.6%	9.3%	0.0%	15.8%	-10.1%	21.6%	0.0%	12.3%	7.3%	-51.9%	7.1%	0.8%	6.1%
Net Expense Ratio	20.6%	26.9%	42.4%	38.2%	27.5%	37.7%	68.0%	67.7%	28.6%	26.9%	56.2%	68.3%	40.5%	57.1%	33.6%	61.1%	44.1%	82.8%	29.0%	50.0%	32.9%	91.1%	58.3%	41.6%
Combined Ratio	98.1%	45.8%	113.2%	85.9%	72.2%	70.9%	55.0%	116.7%	4.4%	81.4%	109.0%	100.5%	107.6%	68.9%	97.0%	82.7%	80.1%	103.1%	87.6%	105.8%	83.7%	173.0%	98.9%	96.1%
Underwriting Margin	**1.9%**	**54.2%**	**-13.2%**	**14.1%**	**27.8%**	**29.1%**	**45.0%**	**-16.7%**	**95.6%**	**18.6%**	**-9.0%**	**-0.5%**	**-7.6%**	**31.1%**	**3.0%**	**17.3%**	**19.9%**	**-3.1%**	**12.4%**	**-5.8%**	**16.3%**	**-73.0%**	**1.1%**	**3.9%**
Tax Rate	25.7%	0.0%	8.7%	18.8%	2.3%	25.7%	25.8%	0.0%	25.7%	0.0%	-0.6%	4.0%	0.0%	30.9%	22.8%	20.5%	1.6%	0.0%	14.8%	34.8%	25.8%	-0.1%	10.1%	13.8%

Statement of Financial Position-Reinsurers US$'000	Alliance	Allied	Altfin	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Heritage	Jupiter	KMFS	Nicoz	Optimal	Quality	Regal	RM	SFG	Tetrad	Tristar	Zimnat	TOTAL
ASSETS																								
Non-Current Assets																								
Fixed Assets	838	255	438	658	249	247	1,966	3,973	196	268	280	1,217	291	153	2,245	428	269	390	1,299	890	0	430	2,696	943
Investments	1,269	53	1,700	1,267	434	305	522	219	72	316	376	262	193	716	7,296	287	518	1	11,396	197	1,544	5,011	2,060	2,566
	2,107	**309**	**2,138**	**1,925**	**683**	**553**	**2,488**	**4,191**	**268**	**584**	**656**	**1,479**	**484**	**869**	**9,541**	**714**	**787**	**391**	**12,695**	**1,087**	**1,544**	**5,441**	**4,756**	**55,690**
Technical Assets																								
Reinsurers' Share of O/S Claims	178	0	452	0	0	0	0	80	36	22	0	0	0	0	0	246	1	0	129	351	1,259	0	0	0
Unearned Commision Reserve	725	0	570	129	116	0	0	188	56	3	110	102	0	0	488	2,513	0	0	503	167	0	97	338	340
	903	0	1,022	129	116	0	0	268	92	24	110	102	0	0	488	2,760	1	0	632	518	1,259	97	338	**8,859**
Current Assets																								
Premium Receivables	4,416	607	3,148	390	552	425	2,315	1,283	271	38	213	899	283	281	5,408	2,006	39	234	753	1,806	764	1,550	2,725	712
Other Debtors & Inventory	3,620	18	657	816	10	326	0	349	463	13	27	585	0	50	105	9	22	0	405	177	735	29	306	433
Accrued Investment income	0	0	0	0	0	0	0	0	0	0	0	0	0	22	189	0	0	0	45	0	1,000	0	0	0
Cash & cash equivalents	519	110	263	2,406	355	189	96	(121)	321	9	8	192	9	11	516	725	228	14	504	74	120	51	418	552
	8,555	735	4,068	3,612	917	940	2,411	1,511	1,056	60	249	1,676	293	363	6,218	2,741	289	248	1,706	2,057	2,619	1,630	3,449	47,404
TOTAL ASSETS	**11,565**	**1,044**	**7,228**	**5,667**	**1,715**	**1,493**	**4,899**	**5,970**	**1,416**	**669**	**1,016**	**3,257**	**777**	**1,233**	**16,247**	**6,214**	**1,077**	**639**	**15,033**	**3,662**	**5,422**	**7,168**	**8,543**	**111,953**
LIABILITIES																								
Deferred Tax Liabilities	0	0	60	58	0	17	417	(108)	17	42	3	0	0	0	1,254	0	6	9	267	70	90	154	206	260
Long Term loan	0	0	0	0	0	0	7	141	0	0	0	0	0	0	0	131	0	0	0	136	0	0	0	0
Current Tax provisions	103	58	19	106	277	31	517	(38)	64	78	0	0	0	55	(66)	34	28	23	222	107	0	0	(37)	(26)
Gross Outstanding Claims	854	0	1,372	0	0	0	0	544	69	80	57	304	0	0	1,360	313	0	0	0	0	261	0	649	742
IBNR	1,615	160	0	1,145	0	0	0	0	0	0	0	0	35	64	0	0	17	16	1,256	309	0	656	0	0
UPR	3,625	0	2,210	0	578	584	214	1,926	273	57	323	819	0	0	2,478	3,540	0	0	0	0	0	1,260	1,428	830
Unearned Premium	0	317	0	1,570	0	0	0	0	0	0	0	0	52	0	0	0	421	16	3,208	383	0	0	0	0
Reinsurance & Other Creditors	2,917	168	1,895	643	36	0	1,549	112	353	45	74	1,409	0	0	1,227	1,164	14	122	(821)	986	2,813	2,266	1,806	281
Other Creditors	0	29	211	0	183	363	0	316	35	30	145	65	204	0	2,214	304	9	137	677	348	755	68	475	28
TOTAL LIABILITIES	**9,115**	**733**	**5,767**	**3,522**	**1,074**	**995**	**2,704**	**2,892**	**811**	**333**	**603**	**2,597**	**291**	**119**	**8,467**	**5,487**	**495**	**323**	**4,807**	**2,339**	**3,919**	**4,404**	**4,526**	**66,324**
SHAREHOLDERS' EQUITY																								
Share Capital	301	53	300	620	382	300	2	423	120	300	33	500	305	400	2,797	50	120	300	9	393	1,000	2,000	553	11,259
Share Premium	0	286	625	898	0	25	455	0	7	0	294	0	0	637	3,184	50	0	0	0	1,108	0	0	0	7,571
Revaluation & Other Reserves	1,141	0	422	0	3	86	1,423	4,399	0	167	0	177	178	100	0	490	49	19	3,272	379	83	498	1,626	14,511
Retained Profit	1,008	(28)	114	627	248	86	314	(1,744)	477	(131)	87	(16)	4	(24)	1,799	137	413	(4)	6,944	(558)	420	266	1,839	12,280
Shareholders's Equity	**2,450**	**310**	**1,461**	**2,145**	**632**	**498**	**2,195**	**3,078**	**605**	**336**	**413**	**661**	**486**	**1,113**	**7,780**	**727**	**582**	**316**	**10,226**	**1,323**	**1,503**	**2,764**	**4,018**	**45,620**
TOTAL EQUITY & LIABILITIES	**11,565**	**1,044**	**7,228**	**5,667**	**1,707**	**1,493**	**4,899**	**5,970**	**1,416**	**669**	**1,016**	**3,257**	**777**	**1,233**	**16,247**	**6,214**	**1,077**	**639**	**15,033**	**3,662**	**5,422**	**7,168**	**8,543**	**111,945**
Key Ratios																								
Shareholders' Equity / NWP	**43.7%**	**89.9%**	**46.6%**	**73.6%**	**56.0%**	**54.6%**	**223.2%**	**190.6%**	**103.4%**	**107.1%**	**76.3%**	**67.4%**	**65.8%**	**222.0%**	**111.7%**	**52.8%**	**83.9%**	**73.2%**	**180.3%**	**102.5%**	**138.9%**	**167.4%**	**154.4%**	**108.4%**
% of Debtors / Total Assets	38.2%	58.1%	43.6%	6.9%	32.2%	28.5%	47.3%	21.5%	19.2%	5.7%	21.0%	27.6%	36.5%	22.8%	33.3%	32.3%	3.6%	36.6%	5.0%	49.3%	14.1%	21.6%	31.9%	0.6%
% of Investments / Total Assets	11.0%	5.1%	23.5%	22.4%	25.3%	20.5%	10.7%	3.7%	5.1%	47.3%	37.0%	8.0%	24.8%	58.1%	44.9%	4.6%	48.1%	0.2%	75.8%	5.4%	28.5%	69.9%	24.1%	2.3%

Appendix B: Statement of Income-Reinsurers ($000)

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
Gross Written Premiums	**8,766**	**305**	**5,004**	**9,723**	**2,561**	**548**	**4,114**	**6,724**	**37,746**
Reinsurance Premiums	2,463	244	757	5,035	833	193	1,284	2,296	13,104
Net Written Premiums	**6,303**	**61**	**4,247**	**4,688**	**1,728**	**355**	**2,830**	**4,428**	**24,641**
Net Earned Premiums	**5,231**	**46**	**3,522**	**4,150**	**1,060**	**249**	**2,443**	**3,316**	**20,018**
Net Incurred Claims	1,001	35	1,142	1,684	381	72	930	752	5,998
Net Commission Incurred	1,494	(9)	1,187	866	409	74	654	1,098	5,774
Technical Result	**3,138**	**3,138**	**3,138**	**3,138**	**3,138**	**3,138**	**3,138**	**3,138**	**3,138**
Operating Expenses	2,108	129	920	1,185	393	131	300	1,011	6,177
Underwriting Result	**1,030**	**(110)**	**397**	**284**	**38**	**(28)**	**636**	**455**	**2,702**
Investment									
Investment Income	138	5	282	161	10	0	90	57	743
Unrealised Gains/Losses	41	0	91	1,182	0	1	0	0	1,314
Other Income	0	0	15	169	0	0	0	0	185
Profit Before Tax	**1,209**	**(104)**	**786**	**1,796**	**48**	**(27)**	**726**	**512**	**4,944**
Taxation	0	0	202	(6)	(19)	0	54	87	319
Profit After Tax	**1,209**	**(104)**	**583**	**1,802**	**67**	**(27)**	**672**	**425**	**4,626**
Key Ratios									
Market Share based on GWP	23.2%	0.8%	13.3%	25.8%	6.8%	1.5%	10.9%	17.8%	100.0%
Market Share based on NWP	25.6%	0.2%	17.2%	19.0%	7.0%	1.4%	11.5%	18.0%	100.0%
Retention Ratio	71.9%	20.0%	84.9%	48.2%	67.5%	64.8%	68.8%	65.9%	65.3%
NEP/ NPW	**83.0%**	**75.2%**	**82.9%**	**88.5%**	**61.4%**	**70.1%**	**86.3%**	**74.9%**	**81.2%**
Net Claims/NEP	19.1%	77.1%	32.4%	40.6%	36.0%	28.9%	38.1%	22.7%	30.0%
Net Commission Ratio	28.6%	-18.9%	33.7%	20.9%	38.5%	29.7%	26.8%	33.1%	28.8%
Net Expense Ratio	40.3%	282.1%	26.1%	28.6%	37.1%	52.6%	12.3%	30.5%	30.9%
Combined Ratio	88.0%	340.3%	92.3%	90.0%	111.6%	111.2%	77.1%	86.3%	89.7%
Underwriting Margin	**12.0%**	**-240.3%**	**7.7%**	**10.0%**	**-11.6%**	**-11.2%**	**22.9%**	**13.7%**	**10.3%**
Tax Rate	0.0%	0.0%	25.7%	-0.3%	-39.1%	0.0%	7.4%	17.0%	6.4%

Statement of Financial Position-Reinsurers US$'000									
	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	1,401	67	302	189	285	183	88	686	3,201
Investments	32,346	202	3,198	7,440	8,897	388	1,613	1,387	55,471
	33,747	**268**	**3,500**	**7,629**	**9,182**	**571**	**1,701**	**2,074**	**58,671**
Technical Assets									
Reinsurers' Share of Outstanding	0	32	4,085	0	266	0	0	0	4,383
Provision for Unearned Commisio	1,268	0	447	530	500	0	0	0	2,745
	1,268	32	4,532	530	766	0	0	0	7,128
Current Assets									
Premium Receivables	4,839	227	2,082	1,802	1,254	215	3,119	3,536	17,075
Other Debtors & Inventory	1,352	8	364	238	12	63	0	219	2,255
Accrued Investment income	11	0	0	1	0	0	239	0	251
Cash & cash equivalents	1,322	10	4,417	211	547	55	209	886	7,657
	7,524	245	6,863	2,251	1,814	333	3,567	4,641	**27,239**
TOTAL ASSETS	**42,539**	**545**	**14,895**	**10,411**	**11,762**	**904**	**5,268**	**6,715**	**93,038**
LIABILITIES									
Deferred Tax Liabilities	486	0	(817)	266	0	0	52	566	553
Current Tax provisions	608	4	202	0	18	0	0	(137)	695
Long term loan	0	0	0	0	300	0	0	0	300
IBNR	2,506	0	0	1,128	514	0	788	595	5,532
Gross Outstanding Claims	0	33	5,528	0	0	100	0	558	6,218
UPR	0	0	1,786	2,032	0	184	0	1,689	5,691
Unearned Premiums	3,381	0	0	0	1,323	0	1,195	0	5,899
Reinsurance & Other Creditors	3,047	307	2,511	3,239	343	184	1,812	651	12,093
Other Creditors	342	3	0	0	40	0	80	0	465
TOTAL LIABILITIES	**10,370**	**347**	**9,210**	**6,665**	**2,538**	**468**	**3,927**	**3,922**	**37,446**
SHAREHOLDERS' EQUITY									
Share Capital	400	5	0	1	400	400	227	5	1,438
Share Premium	23,972	295	2,203	3,003	0	0	0	495	29,969
Revaluation & Other Reserves	6,433	0	3,804	254	5,246	106	0	11	15,854
Retained Profit	1,363	(101)	(322)	488	3,578	(70)	1,114	2,282	8,332
Shareholders's Equity	**32,169**	**199**	**5,685**	**3,746**	**9,224**	**436**	**1,341**	**2,793**	**55,592**
TOTAL EQUITY & LIABILITIES	**42,539**	**545**	**14,895**	**10,411**	**11,762**	**904**	**5,268**	**6,715**	**93,038**
Key Ratios									
Shareholders' Equity / NWP	**510.3%**	**326.1%**	**133.9%**	**79.9%**	**533.7%**	**122.8%**	**47.4%**	**63.1%**	**225.6%**
% of Debtors / Total Assets	11.4%	41.7%	14.0%	17.3%	10.7%	23.8%	59.2%	52.7%	18.4%
% of Investments / Total Assets	76.0%	37.0%	21.5%	71.5%	75.6%	42.9%	30.6%	20.7%	59.6%